



**COLORADO STATE
UNIVERSITY**

Lecture 13

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November 18, 2025

Entrepreneurship is neither a science nor an art. It is a practice.

–Peter Drucker (Austrian American management consultant, educator, and author)

Lecture 13: Harvesting the Entrepreneurial Venture Agribusiness and Food Ventures

Textbook Reading (Quiz Basis)

Chapter 15. Harvesting the Entrepreneurial
Venture



Chapter 15 Objectives

- 15.1 Discuss the concept of “harvest” as a plan for the future.
- 15.2 Explain the key factors in the management succession of a venture.
- 15.3 Identify some of the most important sources of succession.
- 15.4 Explain the potential impact of regulations on family business succession.
- 15.5 Outline the ways to develop a succession strategy.
- 15.6 Describe the specifics of an initial public offering (IPO) as a potential harvest strategy.
- 15.7 Discuss “selling out” as a final alternative in the harvest strategy.

Recap

Throughout the semester, we've moved through the full entrepreneurial arc:

1. Identifying **opportunities** worth solving
2. Using **innovation and creativity** to develop solutions
3. Evaluating **venture pathways** (start-up, acquisition, licensing, franchising)
4. Securing **capital** to fund early stages
5. Building **business plans** that guide action
6. Pinpointing **target customers**
7. Crafting **value propositions** that resonate
8. Assessing **market size** (TAM, SAM, SOM)
9. Developing systems for **growth and scaling**
10. Understanding how **valuation** emerges from traction and potential

This sequence builds toward today's topic: **what ultimately happens to a successful venture.**

Why Talk About Exits?

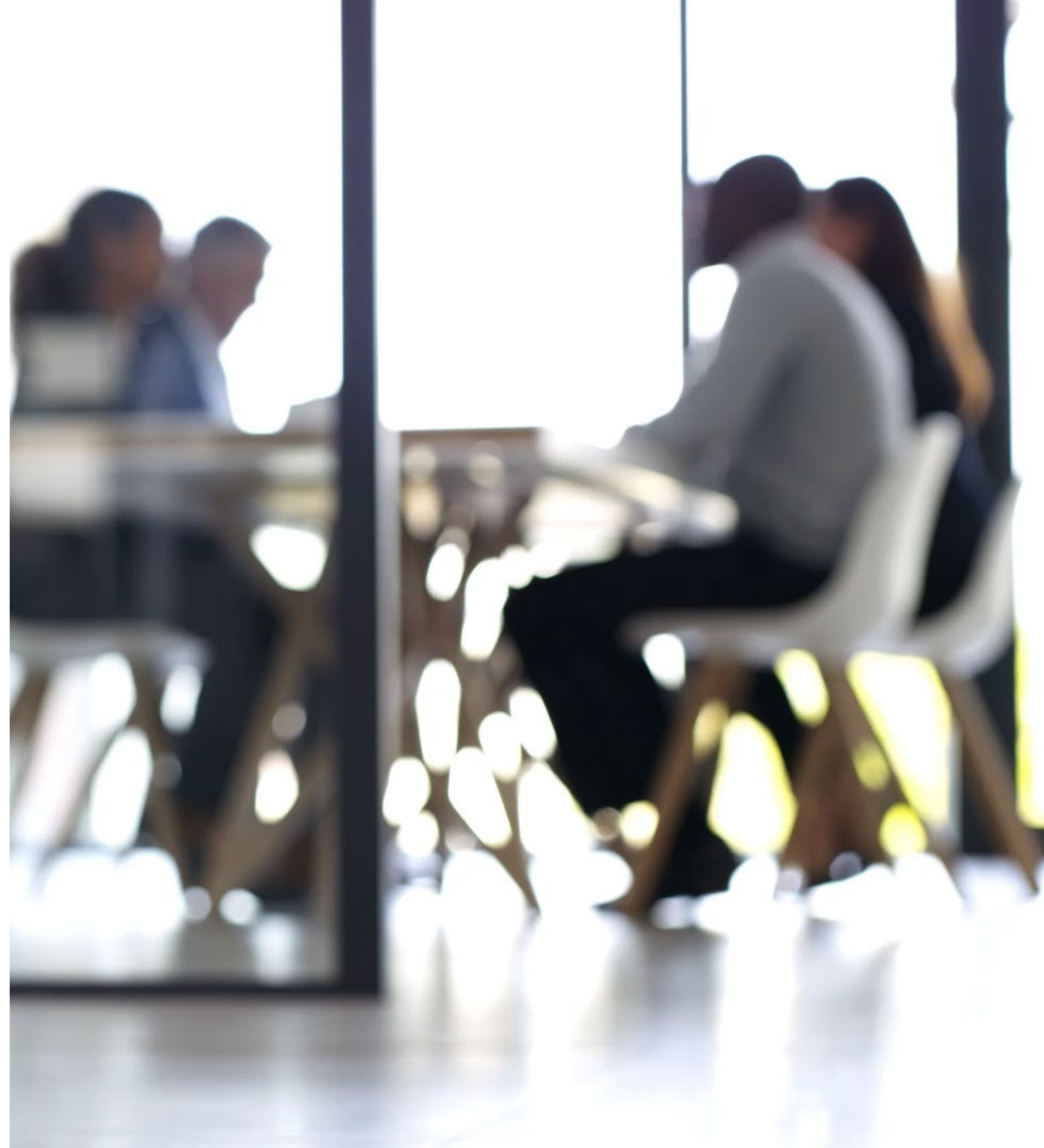
Most students enter thinking entrepreneurship = starting something

In reality, **how you leave** your venture is just as important

Investors expect liquidity

Founders age, priorities shift, markets change

Exits determine the future of the product, people, and mission



What Students Often Notice

Student reflections often raise questions about:

- “Value drift” as companies scale
- Pressure to meet investor expectations
- Compromises to make products “market-ready”
- Founders losing control to shareholders

These are not failures — they are **structural realities** of growth.

As entrepreneurs, consider:

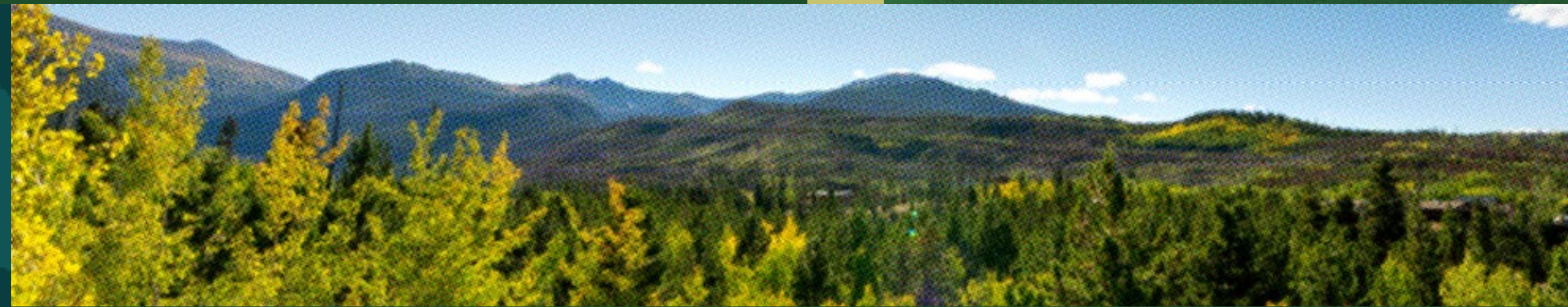
- How your values evolve as your company grows
- What you want your “endgame” to be
- How funding decisions inform exit options
- Whether you want to run or eventually transition your venture

Today's Focus

1. How exits fit into the growth cycle
2. What buyers look for
3. What founders must prepare for
4. Case studies: Annie's, Epic Provisions, Sweet Earth
5. How mission-driven brands "harvest" without losing identity



Growth Phases and Exit Readiness



Recall: Phases of Venture Growth

Growth Phase (focuses on)

Establishing product-market fit

Early customer traction

Testing sales channels

Identifying repeatable demand

Building an early brand identity

Scaling Phase (requires)

Systems, processes, and
predictable operations

Consistent supply chain
performance

Professionalized management

Ability to grow without collapsing

Entry into larger distribution
networks

Venture Valuation (investors assess)

Revenue growth trajectory

Market size alignment
(TAM/SAM/SOM)

Scalability

Margins and unit economics

Team experience

Strength of brand and customer
loyalty

Recall: Phases of Venture Growth

Growth Phase (focuses on)

Buyers rarely pursue companies this early unless the innovation is groundbreaking.

Scaling Phase (requires)

This stage dramatically increases valuation potential.

Venture Valuation (investors assess)

This is when the venture becomes acquisition-ready.

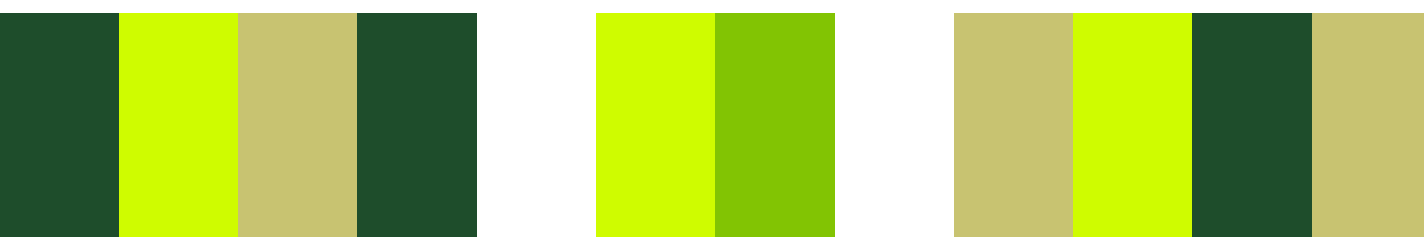
Connecting Growth to Exit

Exits do **not** happen in a vacuum.

They are the natural extension of:

- Growth strategy
- Capital strategy
- Market positioning
- Founder goals

Companies become attractive when they can scale **with or without the founder.**



What Is a Harvest Strategy?

A **harvest strategy** is the plan for *how the founders and early investors will eventually get paid for the value they've built.*

It lays out:

- **How** they will convert their ownership into cash
- **When** that will happen
- **Under what conditions** they'll exit the company

What Is a Harvest Strategy?

A **harvest strategy** is the plan for *how the founders and early investors will eventually get paid for the value they've built.*

This could involve:

- Selling the business to a larger company
- Being acquired by a strategic buyer
- Going public (IPO)
- Passing the business to a successor
- Creating an ESOP where employees buy ownership
- Winding down and selling assets

Why It Matters

Even though exits happen years later, the **harvest strategy influences decisions from day one:**

- How you *structure ownership*
- How much *outside capital* you take
- How fast you *grow*
- How you build *systems and processes*
- How dependent *the business is on the founder*

Investors will often ask: “**How do I eventually get my money back?**”

- The harvest strategy is the answer.

Reasons for Harvesting

- To secure founder wealth
- To transition management
- To bring in expertise a founder doesn't have
- To allow the business to grow beyond the founder
- To give investors their expected return

Management Succession Realities

Succession requires:

- Letting go of control
- Preparing others to lead
- Separating personal identity from the business
- Addressing family business dynamics

Most founders delay too long...

Why?



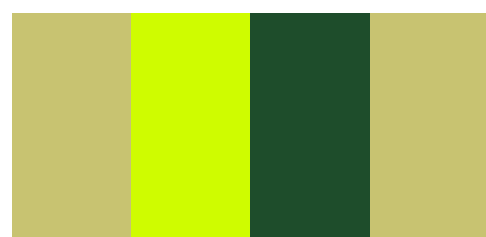
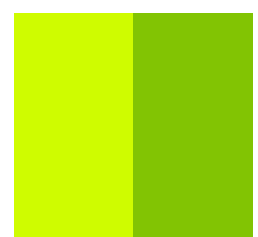
Reasons for Succession Delay

Imagine a founder who has run a specialty food company for 20 years.

The business is stable and profitable, but everything runs through the founder:

- They negotiate with retailers
- They approve all marketing
- They manage supplier relationships
- They control hiring and budgeting

Employees rely on them for every major decision.

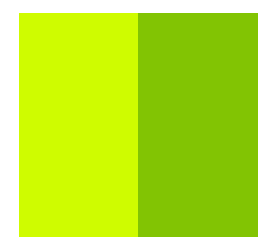


The problem

Suppose the founder always says they will “eventually” train a successor, but they postpone it because:

- They feel no one can run the business as well
- They’re emotionally attached to the company
- They worry that bringing in new leadership will change the culture
- The idea of stepping back feels uncomfortable

Years pass, and the founder continues to work at the center of everything.

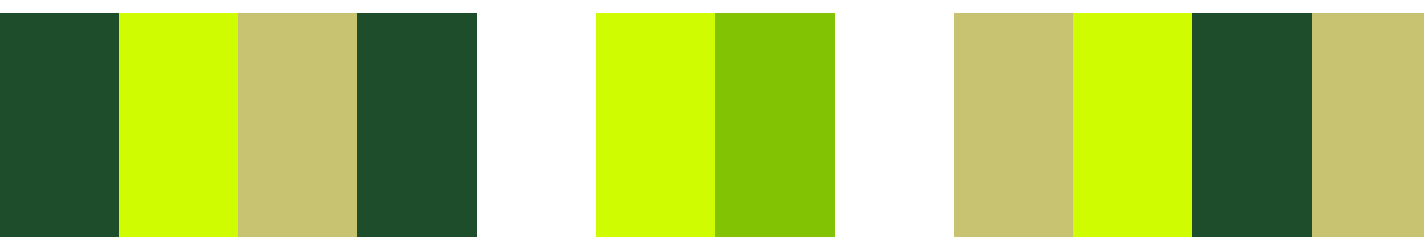


The forcing event

Eventually, something unexpected happens:

- A health issue
- Burnout
- A family emergency
- An important manager leaves
- A large retail partner asks for faster innovation and better supply chain processes

Suddenly, the business needs leadership capacity the founder never developed.



The outcome

If there is **no succession plan**, the company experiences:

- Operational disruptions
- Loss of retailer confidence
- Difficulty meeting orders
- Employee uncertainty
- Lower valuation when a buyer appears

A strategic buyer might still make an offer — **but at a discount** — because the business is too dependent on the founder.

Common Barriers to Succession

- Founder hesitation
- Lack of clear successors
- Emotions and family conflicts
- Underdeveloped systems
- Unresolved ownership issues

Poor planning → forced exits.

Types of Successors

Entrepreneurial successor

- Visionary, growth-oriented; shifts strategy

Managerial successor

- Operational stability; maintains existing trajectory

→ Each creates different exit paths

Strategies for Succession

When founders plan ahead, they can transfer leadership in an orderly way. Common approaches include:

- Early transition planning
- Delayed, founder-held control
- Buy/sell agreements
- Family involvement mechanisms
- ESOPs
- Sale to strategic or financial buyers

Forcing Events

Sometimes leadership or ownership changes are triggered by events outside the founder's control:

- Health issues
- Burnout
- Litigation
- Financial stress
- Market shocks

These events can push a company into an unplanned exit or leadership change.



Liquidity Events Overview

A **liquidity event** is any transaction that converts the founder's or investors' equity into cash.

Common examples:

- Initial Public Offering (IPO)
- Sale to another company
- Private equity investment
- Management buyout

In food and ag, a most common and realistic liquidity event is **a sale to a larger strategic buyer**.

The IPO Option

IPOs provide capital but require:

- S-1 filings
- Public disclosures
- Investor relations
- Quarterly reporting
- Tolerance for market volatility

Among liquidity events, IPOs tend to be the most visible and the most complex.

- They're less common in food and ag, but some companies do choose this path.
- Many food brands prefer acquisition instead.

Acquisitions

Strategic buyers look at “multiples”

A **multiple** is simply a ratio:

Company Value ÷ Some Financial Metric

It tells a buyer *how much they are paying per unit of earnings, sales, or cash flow.*

Why strategic buyers look at multiples

Multiples allow large companies to quickly compare:

- How expensive a company is
- How it stacks up against competitors
- Whether the acquisition price is reasonable
- What kind of return they might expect

Large companies will ask:

- *Are we paying 2× revenue or 6× revenue?*
- *Are the margins strong enough to justify a high multiple?*
- *Does the growth rate justify paying more?*
- *Will this acquisition create synergies that make the multiple more attractive?*

It's simply a **shorthand valuation tool**.

Multiples ~ Valuation Methods

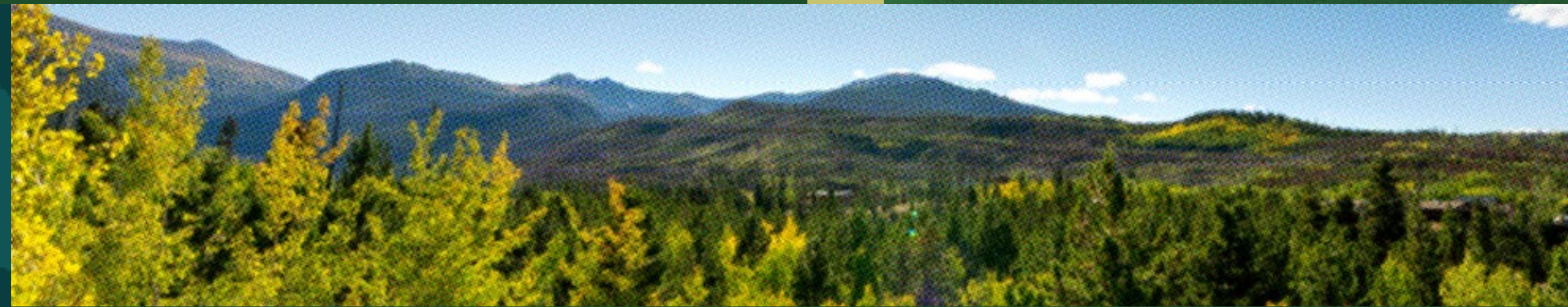
Type	Formula	Example	Interpretation
Revenue Multiple	Enterprise Value ÷ Annual Revenue	Buying a brand for 3× revenue	A fast-growing snack brand might sell for 2–4× revenue
EBITDA Multiple	Enterprise Value ÷ EBITDA *EBITDA = earnings before interest, taxes, depreciation, and amortization	This is the most common because it reflects operational profit.	Food companies often sell for 8–14× EBITDA, depending on growth
Gross Profit Multiple	Enterprise Value ÷ Annual Gross Profit	Used in CPG (consumer packaged goods) when EBITDA is low or negative (startups)	Shows how much buyers pay per dollar of product margin

Selling a Company: 8 Steps

1. Prepare financial analysis
2. Separate personal from business assets
3. Determine valuation
4. Identify timing
5. Share the opportunity
6. Screen buyers
7. Negotiate and close
8. Communicate post-sale

We will now apply these concepts to real companies.

Case Study 1: Annie's Organic





1989

Annie's: Background

- Founded 1989
- Focus on organic, family-friendly pantry staples
- Significant early growth in natural channels
- IPO in 2012 → **Acquired by General Mills in 2014** (\$820M)

Annie's Value Proposition

Value proposition:

Annie's **helps** families **who want** trusted, clean ingredients **by providing** organic versions of everyday comfort foods **that make** mealtime easy, familiar, and healthier.

Annie's solved:

- Moms wanting organic, kid-friendly foods
- Consumers desiring minimal ingredients
- Families wanting familiar comfort foods



Nutrition Facts	
5 servings per container	
Serving size 1 Macaroni and 1 Cheese Pouch (61g)	
Makes about ¾ cup	
Amount per serving	
Calories	240
% Daily Value*	
Total Fat 6g	8%
Saturated Fat 3.5g	18%
Trans Fat 0g	
Cholesterol 15mg	4%
Sodium 440mg	19%
Total Carbohydrate 39g	14%
Dietary Fiber 3g	11%
Total Sugars 2g	
Includes 0g Added Sugars	0%
Protein 8g	
Vitamin D 0mcg	0%
Calcium 90mg	8%
Iron 0.7mg	4%
Potassium 190mg	4%
*The % Daily Value (DV) tells you how much a nutrient in a serving of food contributes to a daily diet. 2,000 calories a day is used for general nutrition advice.	

Best Ingredients:
Organic Pasta (organic wheat flour), **Dried Cheddar Cheese** (cultured pasteurized milk, salt, non-animal enzymes), **Butter** (pasteurized cream, salt), **Nonfat Milk**, **Whey**, **Coconut Oil**, **Salt**, **Sunflower Lecithin**, **Cultured Whole Milk**, **Cultured Whey**, **Sodium Phosphate**, **Natural Flavor**, **Vinegar**, **Silicon Dioxide** (for anticaking).
CONTAINS WHEAT AND MILK INGREDIENTS.

DISTRIBUTED BY
ANNIE'S, INC.,
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MN 55440 USA
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 Certified Organic by
 Oregon Tilth
 Store in a Cool, Dry Place.

*No significant difference has been shown between milk derived from rBST-treated and non rBST-treated cows.

Annie's Growth Story

- Growth strategies:
- Early leadership in organic mac & cheese
 - Retail mainstreaming (Target, Kroger)
 - Packaging + branding innovation
 - Strong trust from parents
 - IPO enabled faster expansion → set up acquisition.

Why General Mills Bought Annie's

General Mills wanted to:

- Capture organic growth segment
- Broaden its natural foods portfolio
- Access loyal households
- Strengthen sustainability initiatives

Annie's offered mission, growth, *and* brand equity.

Annie's

HOMEGROWN



Shells &
Cheddar

W
N
S
Y

Annie's

HOMEGROWN



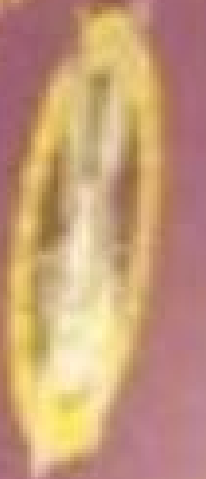
Classic
Mild
Cheddar

Macaroni
& Cheese



Annie's

HOMEGROWN



Rotini Pasta
Three Cheese Sauce

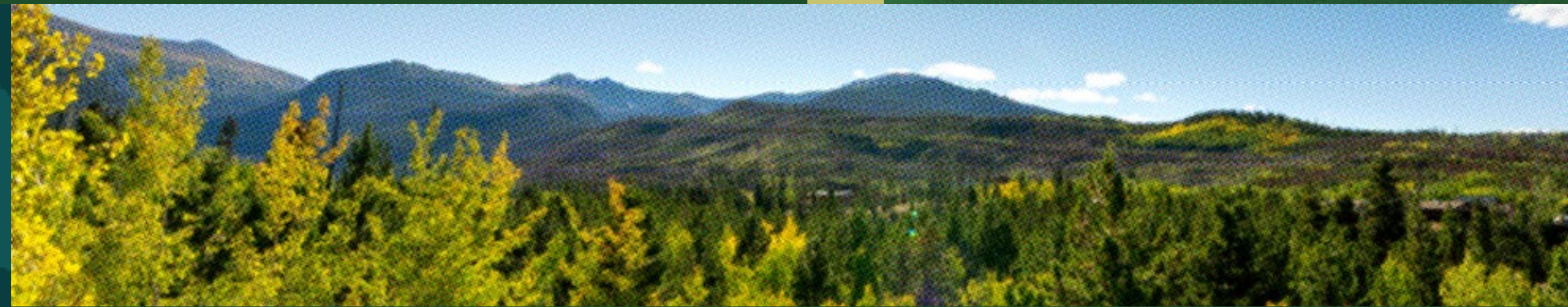


Mike Mozart / JeepersMedia

Lessons from Annie's

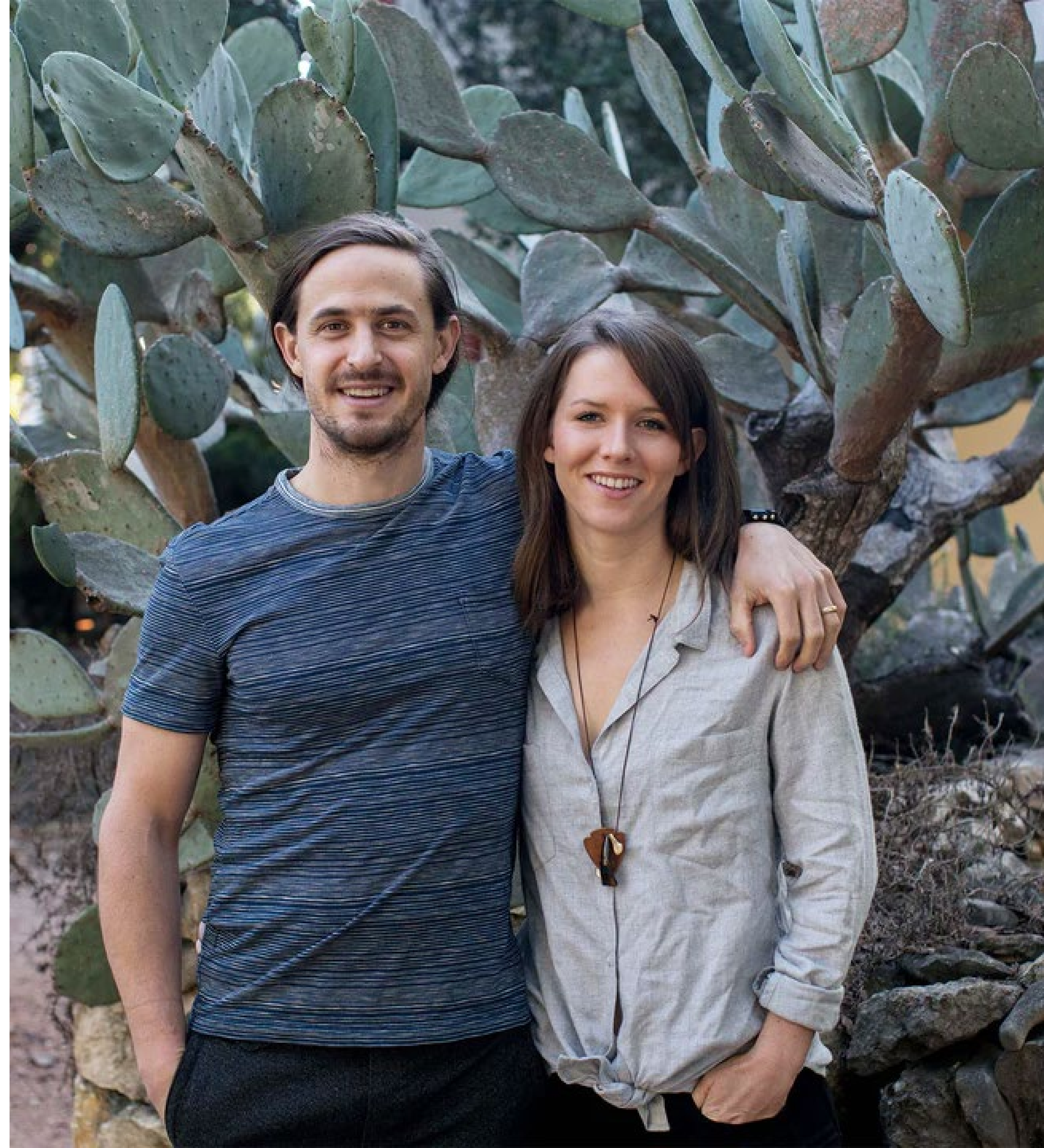
- Early IPOs can set up premium acquisitions
- Clean ingredient trust is valuable IP
- Mission-driven brands need scale to compete
- Public companies face pressure, but also opportunities

Case Study 2: Epic Provisions



Epic Provisions Background

- Founded 2013 by Taylor Collins and Katie Forrest
- Positioned at intersection of paleo, regenerative, high-protein
- Brought “meat bars” to mainstream retail
- **Acquired by General Mills in 2016**



Epic's Value Proposition

Value proposition:

Epic **helps** health-conscious consumers and athletes **who want** clean, high-protein snacks **by providing** minimally processed meat bars made from humanely raised, regenerative livestock **that offer** convenience, transparency, and real food nutrition.

Epic solved:

- Snack bars lacking clean protein
- Consumers desiring transparency
- Athletes wanting real-food performance snacks

Epic's Growth & Scaling Journey

Epic scaled through:

- Whole Foods and natural foods channel partnerships
- Supply chain innovations around regenerative beef
- Strong founder narrative
- Premium packaging and storytelling

This made the brand extremely acquisition-friendly.

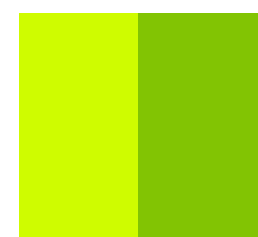


Why General Mills Bought Epic

General Mills sought:

1. Entry into “real food” protein snacks
2. Younger, sustainability-driven consumers
3. Brands with strong identity and authenticity
4. Regenerative agriculture credibility

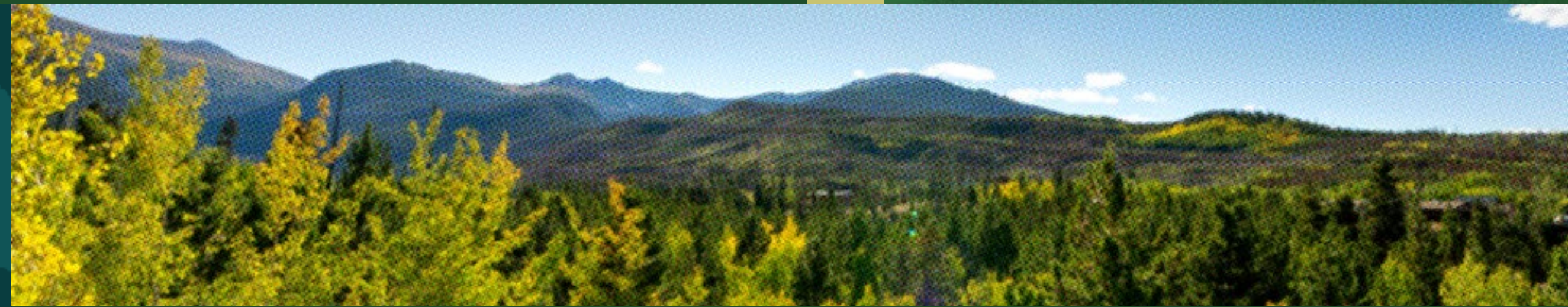
Epic provided all four.



Lessons from Epic

- Strong values attract buyers
- Scaling requires resources small companies lack
- Acquisition can support mission growth
- Founder identity must evolve

Case Study 3: Sweet Earth



Sweet Earth Background

- Founded 2012 by Kelly and Brian Swette
- Plant-based frozen meals + meat alternatives
- Culinary-first positioning (global flavors)
- **Acquired by Nestlé in 2017**



Sweet Earth's Value Proposition

Value proposition:

Sweet Earth **helps** consumers **who want** convenient, plant-forward meals **by providing** globally inspired, ready-to-eat dishes made with recognizable ingredients **that deliver** bold flavor and everyday convenience.

Sweet Earth solved:

- Foods that appealed to millennials and flexitarians
- Ready-to-eat convenient meals
- Ethnic, bold varieties that were not focused on imitation meats

Sweet Earth's Growth & Scaling Journey

Sweet Earth scaled through:

- **Operations.** Invested in manufacturing capacity; improved distribution across West Coast and national natural channel
- **Retail Expansion.** Gained placement in major retailers (Whole Foods, Kroger, Target) driven by demand for convenient plant-based options
- **Category Momentum.** Rode early wave of plant-based interest before the mainstream boom
- **Acquisition Readiness.** Established operational reliability, strong brand story, and product innovation pipeline

2012–2014

Launch in natural foods stores; early traction from millennials and flexitarians

2014–2016

Expanded into frozen entrée and breakfast categories; strong brand identity built around global flavors

2017

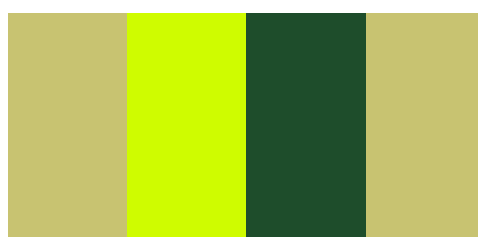
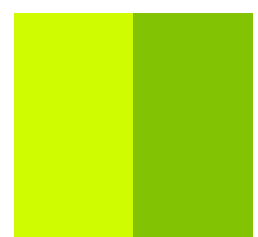
Acquired by Nestlé, which sought a fast entry point into the plant-based and modern frozen meal segments

Why Nestlé Bought Sweet Earth

Nestlé wanted:

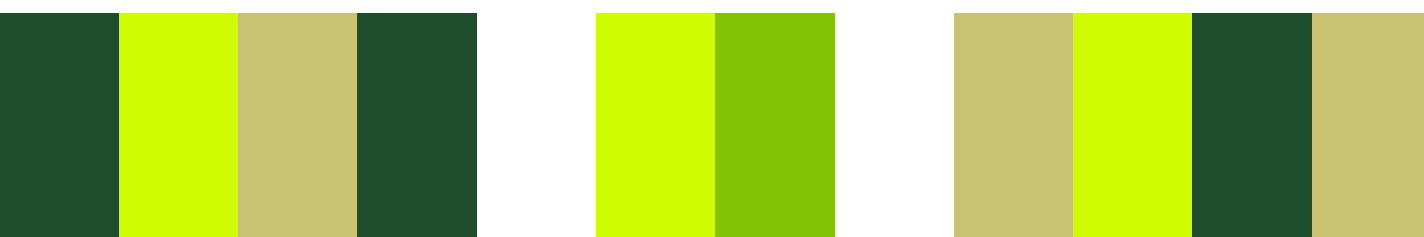
- Faster entry into plant-based
- High-growth frozen segment
- Strong culinary brand ethos
- Leadership with marketing expertise

Sweet Earth fit Nestlé's strategic gap.



Lessons from Sweet Earth

- Timing matters — plant-based boom
- Culinary positioning differentiates
- Distribution scale amplifies mission
- Large buyers want brand vitality



Group Activity 13-1

Students should work in small groups.

Review each company and answer the following questions:

- 1. What is the value proposition of each brand?**
(Use the formula: helps X who Y by providing Z that W)
- 2. What signals showed that these brands were ready to scale?**
E.g., distribution growth, operational systems, consumer traction.
- 3. What made each brand attractive to buyers?**
Think: category trends, brand strength, margins, consumer loyalty.
- 4. What do these three companies have in common that explains why they were acquired?**

Closing Thought

- Harvesting is not the end.
- It is the continuation of entrepreneurship, just in a new form.

Summary

- ✓ Explain how exit strategies fit into the broader venture growth cycle, including growth, scaling, valuation, and liquidity events.
- ✓ Describe the main types of harvest strategies (sale, IPO, succession, ESOPs) and when each is most appropriate in food and agribusiness ventures.
- ✓ Interpret how acquirers use valuation multiples (revenue, EBITDA, gross profit) to assess potential acquisition targets.
- ✓ Analyze the value propositions, growth paths, and scaling signals of Epic Provisions, Annie's, and Sweet Earth.
- ✓ Identify the common characteristics that made these three brands attractive to strategic buyers and how timing and category trends influenced their exits.
- ✓ Evaluate what founders must prepare to become acquisition-ready, including operational systems, financial transparency, brand assets, and distribution traction.
- ✓ Apply course concepts (value propositions, TAM/SAM/SOM, capital, and scaling) to explain why certain ventures reach successful exits while others do not.
- ✓ Work in groups to compare the three case examples and draw conclusions about strategic fit, consumer trends, and acquisition drivers in the food and agriculture sector.

